IPO ANALYSIS REPORT · RHP

Bombay Coated and Special Steels Limited

Mainboard · Steel processing centre (coated steel for appliances) · filed 2026-01-30 · lead manager(s): Smart Horizon Capital Advisors Private Limited · issue size Rs 183 cr · price band: Rs 78-82 · analysed 2026-10-26

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BUSINESS STAGE

Scaling (new plants built; filling capacity)

A four-plant steel processor feeding India's AC and refrigerator makers (revenue Rs 1,056 cr, up 34% a year FY23-25), raising Rs 183 cr of fresh money mainly to repay debt, priced at 18x FY25 earnings after the issue (14x pro forma for lower interest), below the Rs 88 paid by investors in Oct-2025; fair value Rs 116 (Neutral) against Rs 82.

Revenue FY25 **₹1,056 cr** CAGR FY23-FY25: **33.7%**	PAT FY25 **₹29 cr** CAGR FY23-FY25: **35.3%**	EBITDA margin **7.0%** FY23: **6.4%**	Cash conversion (CFO / PAT, 3 yrs) **68.6%**
Cash tax rate (3 yrs) **20.0%**	P/E at reference (post-issue) **18.0x** peer median: **41.8x**	Adjusted P/E (earnings quality) **18.7x** reported: **18.0x**	Blended value (Neutral) **₹115.6** vs reference: **41.0%**
Reference price **₹82** Upper band Rs 82 (NSE issue page). At Rs 82: market cap Rs 515.2 cr post-issue; P/E 18.0x FY25 EPS post-issue (11.6x pre-issue, 13.9x pro forma for interest saved); P/B 1.81x; EV/EBITDA 8.0x. Oct-2025 private placement was at Rs 88.			

Report structure

Business of the company

Industry outlook

Moat and SWOT analysis

Management analysis and governance

Historical financials and ratios

Future outlook and projections

Valuation: DCF and peer comparison (P2P)

Areas to watch and growth drivers

Conclusion

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At a glance

The call, the key numbers and the basis of the analysis.

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STAGE

Mainboard · RHP

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Basis. Book-built **fresh issue of Rs 183.06 cr** of Rs 10 shares (Rs 191 cr in the DRHP, less the Rs 7.92 cr raised in the Oct-2025 placement); no offer for sale. Price band **Rs 78-82**, lot 182 shares (Rs 14,924 at the upper band); anchor bidding 28-Oct-2026; bid/issue **29-Oct to 2-Nov-2026**; NSE and BSE. Sole BRLM Smart Horizon Capital Advisors; registrar KFin Technologies (NSE issue page, read 26-Oct-2026). **Provisional:** the RHP is not yet on SEBI and NSE's copy sits on a host this environment cannot reach, so company figures come from the DRHP dated 28-Jan-2026 (SEBI filing 99471; observation 12-Jun-2026),

> with restated standalone financials to **30-Sep-2025** (H1 FY26, 391 days old). FY26 full-year figures and any RHP changes are not reflected; the report is rebuilt automatically once the RHP is retrievable. Printed page numbers are DRHP pages (printed page = PDF page - 6).
>
> Judged at the **upper band, Rs 82**. Because the fresh issue is a fixed amount, the share count depends on the price; values below are at Rs 82 (2.23 crore new shares). Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** a **steel processing centre**. It buys coated (colour-coated and galvanised) and hot-rolled steel coils and slits, cuts to length, shears and embosses them into slit coils and blanks for appliance and engineering manufacturers, with just-in-time delivery and inventory management for the customer (pp. 26, 207).
- **Who buys it:** contract manufacturers (ODMs, 60.56% of FY25 revenue) and brand manufacturers (OEMs, 39.42%) (p. 26). Appliances (air conditioners, refrigerators and similar) were 81.80% of FY25 product revenue (p. 30). Named customers include Amber Enterprises (15.53% of FY25 revenue), Western Refrigeration (13.50%), Haier Appliances (9.81%), PG Technoplast (7.37%), EPack Durable (5.13%) and Dixon (p. 37). 252 customers in FY25; top-10 67.44% (p. 37).
- **Supply:** an authorised service partner of **JSW Steel Coated Products** since 2021, which supplied 90.61% of FY25 coil needs (pp. 31, 208).
- **Plants:** four facilities on 42,209 sq m: Wada and Bhiwandi (Maharashtra), Ghiloth (Rajasthan) and Sri City (Andhra Pradesh, from April 2023), each placed next to appliance clusters (pp. 44, 208). Installed capacity 220,506 MTPA (half-year basis); H1 FY26 utilisation 46% slitting, 49% cut-to-length, 57% embossing (p. 123).
- **History:** the founder, Vijaykumar Gupta, began steel trading as Bombay Steels in 1983 and started processing at Bhiwandi in 2012; the company took over the proprietorship business in January 2021 and has since added the northern and southern plants (p. 207).

Stage of the business

Classification: scaling: new plants built, now filling capacity.

Evidence	Reading
Revenue Rs 590.88 cr → Rs 755.26 cr → Rs 1,055.71 cr (33.7% CAGR FY23-25)	Rapid growth from new plants
H1 FY26 revenue Rs 491.51 cr, about 7% below the FY25 run-rate	Growth paused in FY26
Capacity up 27.9% a year FY23-25; utilisation 46-66% in H1 FY26	Room to grow without new plants
Adjusted EBITDA margin 6.37% → 7.02% (H1 FY26 7.84%)	Thin but improving, as usual for processors
Debt/equity 5.07x → 3.33x → 2.88x	Expansion was debt-funded; the issue repays debt

2. Industry outlook

Industry figures are from the CareEdge report commissioned and paid for by the issuer (p. 207); we have not checked them independently.

- **Market:** India's steel processing centre market was about USD 8.2 bn in CY25, having grown 8.6% a year since CY20, and is projected to grow 8.7% a year to USD 12.4 bn by CY30; the global market is about USD 215 bn (p. 26).
- **Why processors exist:** mills sell coils in bulk; appliance and auto makers want precise sizes delivered just in time. Processors earn a conversion margin plus a logistics and inventory-carrying role, typically on thin margins and with working capital tied up in steel.
- **Demand driver:** the shift of air-conditioner, refrigerator and component manufacturing to India under the white-goods production-linked incentive scheme, which concentrates demand around clusters where the company's plants sit (pp. 143, 178-187, 208).
- **Competition:** mill-owned service centres, other independent processors (listed examples: BMW Industries, Shiv Aum Steels), and coated-steel makers such as Manaksia Coated Metals (p. 121).
- **Read for an investor:** a volume business tied to appliance production and steel prices; returns come from utilisation, working-capital turns and customer stickiness rather than pricing power.

3. Moat and SWOT analysis

Moat

- **Service-partner status with JSW Steel Coated Products:** assured access to coated coils, the key input (p. 208).
- **Location next to customers:** plants beside the AC and refrigerator clusters of Amber, Western Refrigeration, PG Technoplast and EPack cut freight and lead time, and are hard to replicate quickly (p. 208).
- **Approved-vendor relationships** with large ODMs/OEMs; customer count rose from 188 to 252 in two years (p. 37).
- **Limits:** processing is not proprietary, contracts are order-by-order with no long-term commitments (p. 31), and the same mill relationship that secures supply also concentrates it.

STRENGTHS

- Plants inside appliance clusters in the West, North and South (p. 208)
- Authorised service partner of JSW Steel Coated Products (p. 208)
- Revenue up from Rs 590.88 cr to Rs 1,055.71 cr in two years (p. 279)
- ROCE about 18.8% (p. 123)
- Adjusted EBITDA margin 7.84% in H1 FY26 (p. 122)

WEAKNESSES

- PAT margin 2.72% in FY25 (p. 122)
- Debt/equity 3.33x; interest cover 2.4x on EBITDA (pp. 123, 279)
- 90.61% of coils from one supplier (p. 31)
- Appliances 81.80% of product revenue (p. 30)
- 25 delayed statutory filings (pp. 44-46)

OPPORTUNITIES

- Utilisation 46-66% leaves room to grow (p. 123)
- Appliance manufacturing growth under the PLI scheme (pp. 143, 178-187)
- Lower interest after Rs 125 cr debt repayment (p. 108)
- Engineering-sector blanks (p. 207)

THREATS

- Steel price volatility (p. 30)
- Appliance-sector slowdown (p. 30)
- Change in the JSW relationship (p. 31)
- Customers buying from mill service centres (part 2)

4. Management analysis and governance

- **Leadership:** Vijaykumar Gupta, Chairman and Whole-time Director, in steel since 1983; Nitin Gupta (his son), Managing Director, 20+ years in steel, who led the expansion into appliance OEM/ODM supply; Bhawna Gupta, Whole-time Director (pp. 248-250). CEO Shashi Rawat; CFO Ashish Sonthalia (since Sept-2025, after the previous CFO left in Aug-2025); Company Secretary Sonam Gupta (p. 32).
- **Board:** six directors: three promoter executives and three independent directors (two chartered accountants, one company secretary), all appointed in March 2025 ahead of the IPO (pp. 248-250).
- **Ownership:** the promoter family holds 97.78% before the issue; Nitin Gupta 78.22% (p. 27). The promoters' average cost is Rs 1.25 to Rs 12.50 a share (p. 35). The Oct-2025 placement at Rs 88 brought in Moneyplant SME Fund and individual investors (pp. 28, 94).
- **Pay:** three promoter directors drew Rs 0.66 cr in FY25; the CEO Rs 0.57 cr (p. 32). Modest for a Rs 1,000 cr revenue business.
- **Related parties:** the promoter family lends the company Rs 25.75 cr (Sep-2025) at interest (Rs 2.52 cr interest in FY25), and two premises are rented from promoters (pp. 32-33, 254). Related-party transactions were 3.14% of FY25 revenue (p. 33). Typical of a promoter-funded company; GCP proceeds cannot be used to repay promoter loans (p. 27).
- **Compliance record:** 25 statutory forms were filed late with the RoC over five years (with additional fees), and the 2021 allotment of 24.5 lakh shares to the founder for the Bombay Steels business transfer was filed under the wrong head without Form MGT-14; adjudication applications are pending (pp. 44-46). Procedural and disclosed; no penalty yet.
- **Litigation:** none by or against the company; one tax matter against a director, amount unascertained (p. 30).
- **Audit:** Shah Shah & Shah (peer-reviewed), no qualifications (pp. 29, 88).
- **Read:** a first-generation family business professionalising for listing: an experienced promoter team, modest pay, and a board that is new. The filing lapses point to a back office that has lagged the company's growth; none is a material issue under the Fund's rules, but board oversight after listing is a point to watch.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY23	FY24	FY25	H1 FY26 (6 months)
Revenue from operations	590.88	755.26	1,055.71	491.51

Rs crore	FY23	FY24	FY25	H1 FY26 (6 months)
Growth	n.a.	27.8%	39.8%	n.m.
Adjusted EBITDA (issuer KPI, excl. other income)	37.65	49.17	74.09	38.51
Adjusted EBITDA margin	6.37%	6.51%	7.02%	7.84%
Other income	1.02	10.15	2.94	1.40
Finance cost	15.38	25.96	31.24	18.20
PAT	15.67	21.14	28.67	11.01
EPS (Rs, post-bonus)	4.47	5.34	7.24	2.78
Cash flow from operations	1.34	11.49	32.09	62.51
Capex	53.00	49.31	34.61	27.34
Inventory	87.00	84.32	115.73	101.16
Trade receivables	80.33	106.15	136.73	115.82
Borrowings	168.63	234.16	276.96	270.94
Net worth	33.24	54.36	83.05	94.07
ROE (issuer)	67.90%	48.20%	41.76%	12.45% (not annualised)
ROCE (issuer)	17.89%	18.60%	18.78%	9.07% (not annualised)
Debt / equity	5.07x	4.31x	3.33x	2.88x

Sources: pp. 122-123, 278-280, 329. Adjusted EBITDA reproduces from the P&L: FY25 PBT 37.17 + finance cost 31.24 + D&A 8.63 - other income 2.94 = Rs 74.09 cr.

At the upper band (Rs 82): fresh issue about 2.23 crore shares; post-issue shares 6.2824 crore; market cap Rs 515.2 cr; P/E 18.0x FY25 EPS on post-issue shares (11.6x pre-issue); post-issue net worth about Rs 285 cr, P/B 1.81x; EV Rs 591.7 cr (market cap + net debt Rs 259.53 cr including leases - Rs 183.06 cr proceeds), EV/EBITDA 8.0x. **Pro forma**, repaying Rs 125 cr of debt at about 9% would add roughly Rs 8.4 cr to annual PAT (FY25 pro-forma PAT about Rs 37.1 cr; P/E 13.9x at Rs 82). Debt/equity would fall to about 0.5x. The Oct-2025 placement was at Rs 88, above the band.

Positives and points to monitor

Positives	Points to monitor
Revenue 33.7% CAGR FY23-25 (p. 279)	H1 FY26 revenue below the FY25 run-rate (p. 279)
Margin up to 7.84% in H1 FY26 (p. 122)	Interest cover 2.4x on EBITDA in FY25 (p. 279)
H1 FY26 operating cash flow Rs 62.51 cr (p. 280)	Cumulative CFO 68.6% of PAT FY23-25 (p. 280)
No litigation against the company (p. 30)	Subsidy income 23% of FY24 PBT (p. 329)

Is the reported P/E right? Earnings quality at Rs 82

Reported P/E is a fair measure: the adjustments found move FY25 PAT by -4.0%, within the 10% threshold. On the FY23-FY25 average, which smooths one-year items, the P/E is 23.6x reported and 26.7x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY25	28.67	4.56	**18.0x**
FY25 after: state subsidy	27.93	4.45	**18.4x**
FY25 after: CPS benefit	27.93	4.45	**18.4x**
FY25 after: insurance claims	27.51	4.38	**18.7x**
FY23-FY25 average, reported	21.83	3.47	**23.6x**
FY23-FY25 average, adjusted	19.33	3.08	**26.7x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY23	FY24	FY25	IN ADJUSTED P/E	CONFIDENCE	FY25 P/E IF APPLIED	PAGE
Government subsidy received (in other income) Subsidy of Rs 6.39 cr in FY24 (23% of PBT) and Rs 1.00 cr in FY25 (Rs 0.58 cr in H1 FY26). Real cash, but scheme-based and time-bound; the scheme and its remaining tenure are not stated.	0	-6.39	-1	! YES	Medium	18.4x	pp. 329, 396
Continuous Production Scheme benefit and other income One-off Continuous Production Scheme benefit of Rs 1.95 cr in FY24.	-0.02	-1.95	0	! YES	Medium	18.0x	pp. 329, 396
Insurance claims received (in other income) Insurance claims of Rs	0	-0.11	-0.55	! YES	High	18.2x	p. 329

ITEM AND REASON	FY23	FY24	FY25	IN ADJUSTED P/E	CONFIDENCE	FY25 P/E IF APPLIED	PAGE
0.11 cr (FY24) and Rs 0.55 cr (FY25); non-recurring.							
Interest on bank deposits Mostly on margin-money deposits backing letters of credit for coil purchases, so tied to operations. Shown for information.	-0.88	-1.68	-1.34	No (information)	High	18.6x	p. 329
Pro-forma interest saving on Rs 125 cr of debt repaid from the issue (at about 9%) Not an accounting adjustment: shows the earnings the business would report after the issue repays Rs 125 cr of borrowings carrying 8.15-9.25% (p. 110). For information.	0	0	11.25	No (information)	Medium	13.9x	pp. 108-112

Also checked, no adjustment needed

✓ PASS No capital work in progress at Sep-2025 (Rs 5.47 cr at FY25 was capitalised); no capitalised borrowing or development costs disclosed (p. 278)

✓ PASS No intangibles or goodwill on the balance sheet (p. 278)

✓ PASS Expected-credit-loss charge is small (Rs 0.12 cr FY24); no large write-backs in other income (pp. 280, 329)

✓ PASS No exceptional items in FY23-25 or H1 FY26 (p. 279)

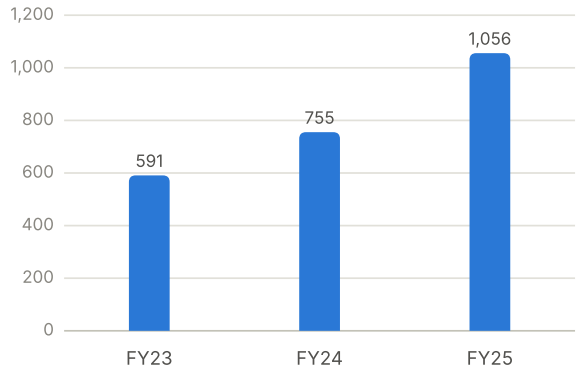
✓ PASS Profit taxed in cash: current tax 20.0% of cumulative PBT, deferred tax from accelerated

depreciation (p. 279)

✓ PASS Cash flow: H1 FY26 operating cash flow Rs 62.51 cr shows working capital is released when growth pauses (p. 280)

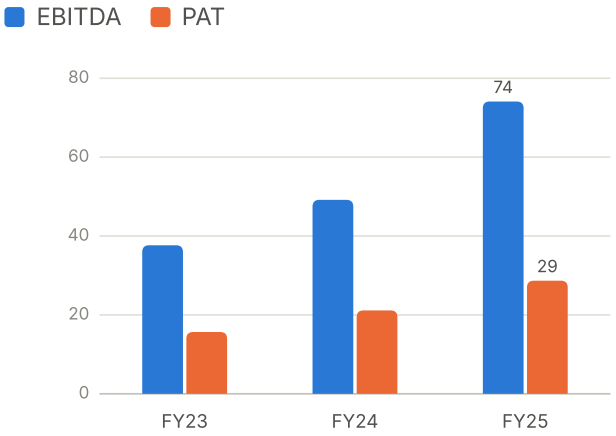
Revenue from operations

Rs crore



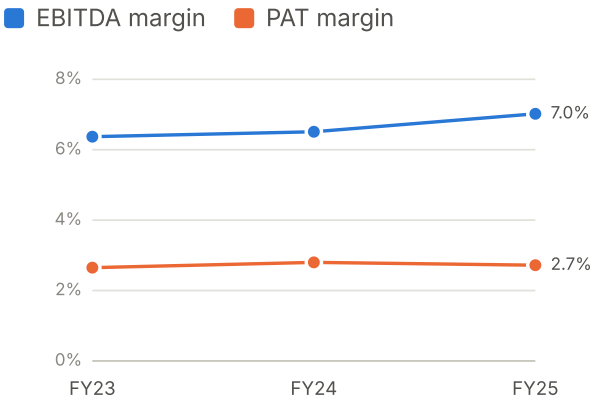
EBITDA and PAT

Rs crore



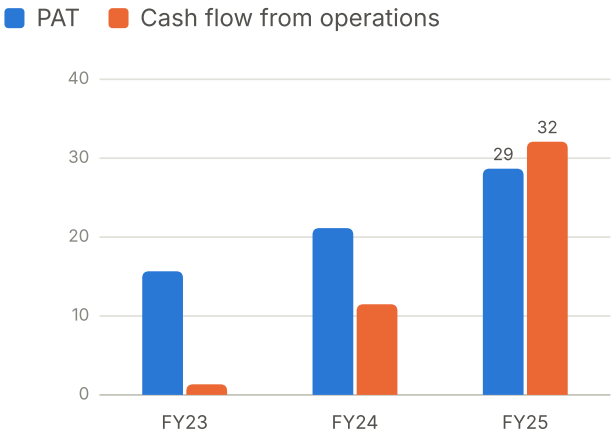
Margins

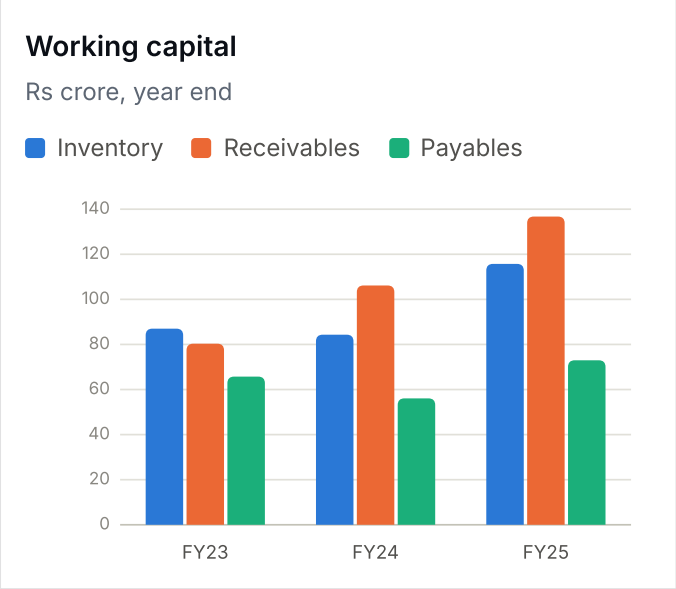
% of revenue

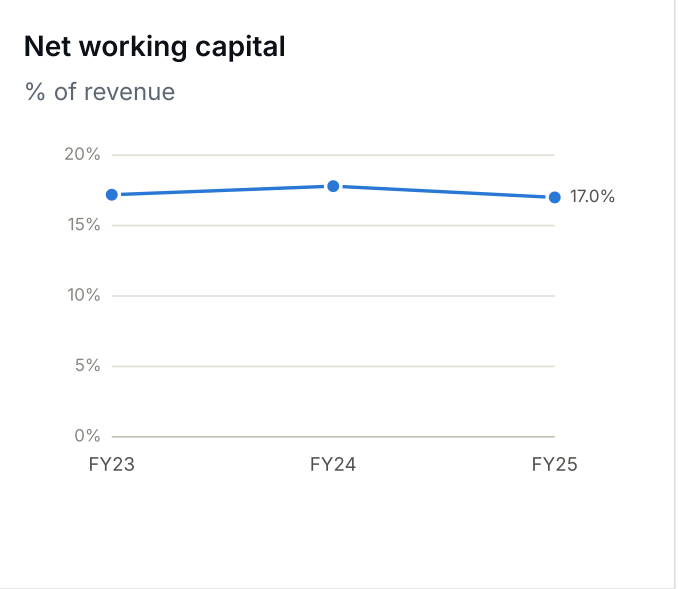


Profit and operating cash flow

Rs crore







6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

- **Capacity and use:** with 220,506 MTPA installed and 46-66% utilisation, revenue can grow for some years with maintenance capex only (p. 123).
- **Use of the issue:** Rs 125 cr repays term loans and working-capital lines; Rs 18 cr buys out equipment leased from Siemens Financial Services; the balance is GCP (pp. 27, 108). The issue is a balance-sheet repair: finance cost (Rs 31.24 cr in FY25, 42% of EBITDA) is the main lever on profit.
- **Management priorities:** improving the debt profile, deeper share with existing appliance customers, value-added embossing and engineering blanks (pp. 219 onwards).

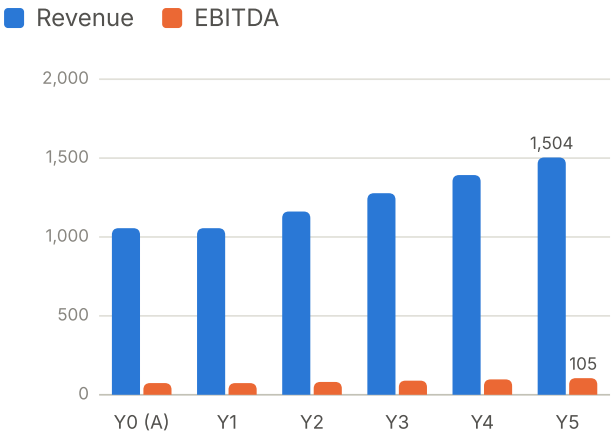
Neutral projection used in the model (Rs crore):

	FY25 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	39.8%	0%	10%	10%	9%	8%
Revenue	1,055.71	1,055.71	1,161.28	1,277.41	1,392.37	1,503.76
Adjusted EBITDA (7.0%)	74.09	73.90	81.29	89.42	97.47	105.26
Free cash flow to firm	n.a.	48.9	26.6	29.3	34.9	41.0

Year 1 assumes FY26 revenue flat (H1 FY26 was below the FY25 run-rate), so free cash flow is high as working capital and capex stay level.

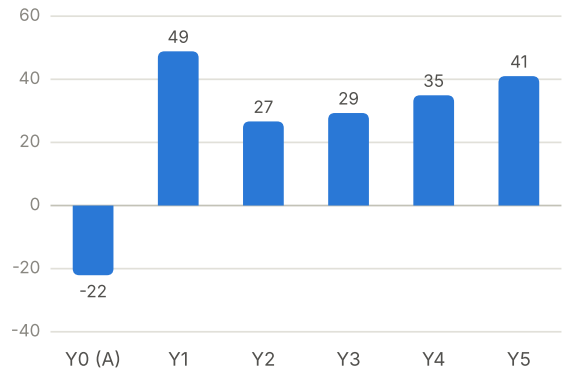
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore

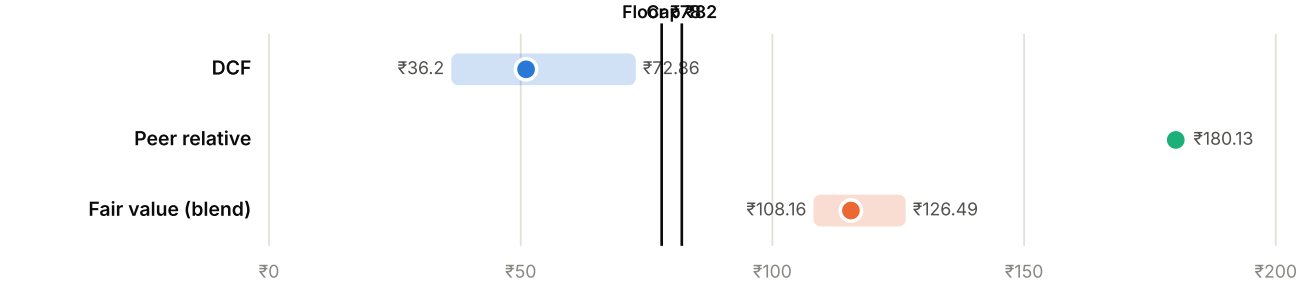


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 82 (NSE issue page). At Rs 82: market cap Rs 515.2 cr post-issue; P/E 18.0x FY25 EPS post-issue (11.6x pre-issue, 13.9x pro forma for interest saved); P/B 1.81x; EV/EBITDA 8.0x. Oct-2025 private placement was at Rs 88.

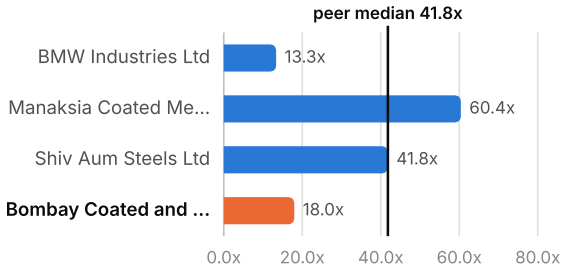
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



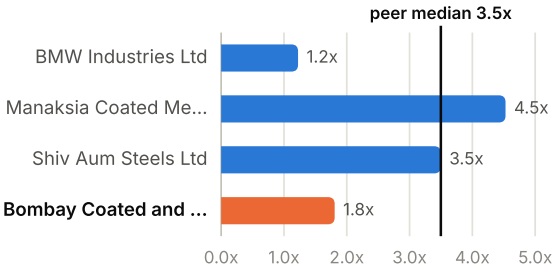
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹36.2	₹180.13	**₹108.16**	31.9%
Neutral	₹51.06	₹180.13	**₹115.6**	41.0%
Bull	₹72.86	₹180.13	**₹126.49**	54.3%

WACC **14.3%**

Terminal value share of EV **68.7%**

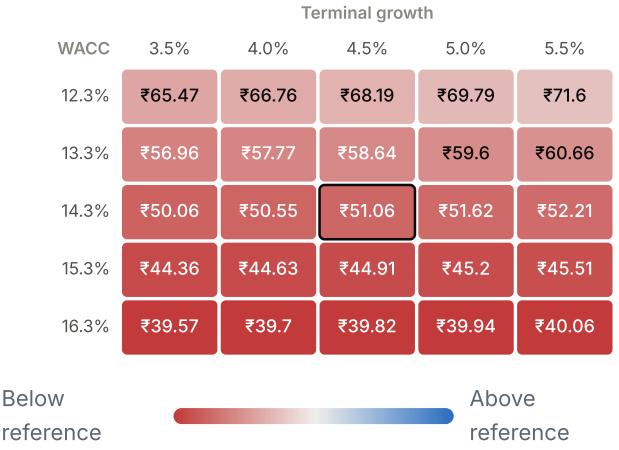
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.3%
required EBIT margin (steady state)	9.8%	6.2%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	17.0%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

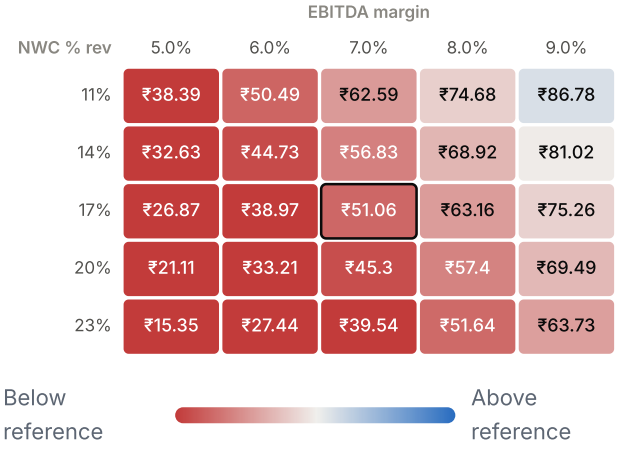
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the DRHP's "Basis for Issue Price" (p. 121): prices are closes on 22/23-Jan-2026 and FY25 standalone figures.

Company	CMP (Rs)	Revenue FY25 (Rs cr)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
BMW Industries	37.76	557.08	2.83	30.84	9.16%	13.3x	1.2x
Manaksia Coated Metals & Industries	126.83	781.63	2.10	28.01	7.03%	60.4x	4.5x
Shiv Aum Steels	297.30	548.20	7.11	84.99	8.36%	41.8x	3.5x
Bombay Coated at Rs 82 (post-issue)	82	1,055.71	7.24	20.97	34.54%	**18.0x**	**1.8x**
Peer median					8.36%	41.8x	3.5x

Read: Bombay Coated is the largest of the four by revenue and earns a much higher return on net worth (34.54% against an 8.36% median), helped by leverage. BMW Industries, the closest pure processor, trades at 13.3x; the median is lifted by Manaksia Coated (60.4x), a coated-steel maker, and Shiv Aum (41.8x). The peer set is small and wide, so the relative value should be read with care.

DCF and fair value

Inputs (FY25 P&L; Sep-2025 balance sheet adjusted for the Oct-2025 placement; Rs crore): revenue 1,055.71; adjusted EBITDA 74.09; D&A 8.63; PAT 28.67; net worth 101.99; net debt 259.53 (borrowings 270.94 + leases 15.99 - cash 19.48 - placement proceeds 7.92); trade working capital 179.49 (FY24 134.41); capex 34.61. Fresh issue Rs 183.06 cr credited in the equity bridge; no IPO capex.

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 9.0% (DRHP loan rates 8.15-9.25%, p. 110); debt weight 20%; **WACC 14.31%**; terminal growth 4.50%. Terminal value is 68.7% of enterprise value in the Neutral case.

Rs per share (at Rs 82, 6.2824 crore shares)	Bear	Neutral	Bull
DCF	36.20	51.06	72.86
Relative (peer-median P/E and P/B)	180.13	180.13	180.13
Fair value (50:50 blend)	**108.16**	**115.60**	**126.49**
Against Rs 82 (upper band)	+31.9%	+41.0%	+54.3%
Against Rs 78 (floor)	+38.7%	+48.2%	+62.2%

- **Scenario drivers:** FY26 growth -5% / 0% / +6%, then 4-5% / 8-10% / 10-15% a year; adjusted EBITDA margin 6.4% / 7.0% / 7.8%; working capital 18% / 17% / 16% of revenue; terminal ROIC 13% / 16% / 19%. Rationale and page cites are in the valuation workbook.
- **Why DCF and peers diverge (-71%):** the DCF values a 7%-margin business carrying Rs 260 cr of net debt at a 14.3% discount rate; equity is a thin slice of enterprise value, so it is very sensitive. Listed peers trade at 13-60x earnings. The divergence is the finding: on cash flows alone the business is worth far less than the market pays for listed steel processors.
- **Sensitivity (Neutral DCF, at Rs 82):** WACC 12.3-16.3% gives Rs 68-40; margin 6.4-7.8% gives Rs 44-61. Margin and the discount rate matter equally because of the leverage.

- **Earnings quality and the relative value:** the reported P/E is a fair measure (part 5), so the relative value needs no adjustment. The pro-forma interest saving is not added to the model's earnings.
- **Reverse DCF:** FY25 free cash flow was negative (capex Rs 34.61 cr against operating cash flow Rs 32.09 cr), so no multiple can be stated; any price assumes cash generation improves, which H1 FY26 (CFO Rs 62.51 cr) suggests is starting as capex slows.

8. Areas to watch and growth drivers

Growth drivers to track

- **FY26 results in the RHP:** whether H2 recovered after the softer H1 (Rs 491.51 cr) (p. 279).
- **Utilisation:** slitting and cut-to-length moving from 46-49% towards 65-70% (p. 123).
- **Margin:** adjusted EBITDA holding near 7.5-8% as embossing and engineering blanks grow (p. 122).
- **Deleveraging:** finance cost falling after the Rs 125 cr repayment; interest cover above 4x.
- **Customer base:** new appliance OEM/ODM wins beyond the top two (Amber, Western Refrigeration together 35% in H1 FY26) (p. 37).

Points to monitor

Item	Now	Why it matters to an investor
Supplier dependence	JSW Steel Coated Products 90.61% of FY25 coils (p. 31)	Terms of the service-partner agreement decide supply and margin
Sector dependence	Appliances 81.80% of product revenue (p. 30)	AC season and appliance cycle drive volumes
Customer concentration	Top two 35.15% of H1 FY26 revenue (p. 37)	Loss of one customer moves revenue materially
Subsidy income	Rs 6.39 cr in FY24, Rs 1.00 cr in FY25 (p. 329)	Scheme tenure affects reported profit
Compliance	RoC adjudication pending (pp. 44-46)	Back-office discipline after listing
Promoter loans	Rs 25.75 cr at interest (p. 33)	Whether they are repaid or stay after listing

What would change our view

- **Firmer:** RHP FY26 numbers showing growth back with margins near 8% and operating cash flow above PAT.
- **Weaker:** a further fall in revenue in the RHP's FY26 figures; any change in the JSW Steel Coated Products arrangement; a relative value on the closest peer (BMW Industries, 13.3x) alone, which would bring the blend close to the band.
- **Price:** the rule reads Subscribe up to about Rs 154 and Neutral up to about Rs 211, so the whole band is well inside Subscribe.

Risks

- Steel price volatility and inventory losses (p. 30).
- Supplier and customer concentration (pp. 31, 37).
- Appliance-sector slowdown (p. 30).
- Working-capital needs as growth resumes (p. 31).
- Regulatory action on past filing lapses (p. 44).

9. Conclusion

CALL

Subscribe

STAGE

Mainboard · RHP

A four-plant steel processor feeding India's AC and refrigerator makers (revenue Rs 1,056 cr, up 34% a year FY23-25), raising Rs 183 cr of fresh money mainly to repay debt, priced at 18x FY25 earnings after the issue (14x pro forma for lower interest), below the Rs 88 paid by investors in Oct-2025; fair value Rs 116 (Neutral) against Rs 82.

Business stage Scaling (new plants built; filling capacity)

Subscribe at Rs 82 (upper band) - provisional, on DRHP figures.

The investment case. Bombay Coated is a four-plant steel processor embedded in India's air-conditioner and refrigerator supply chain, with JSW Steel Coated Products as its coil partner and Amber, Western Refrigeration, Haier, PG Technoplast and Dixon as customers. Revenue almost doubled in two years, margins are inching up, and plants run at only about half their capacity, so volume can grow without heavy capex. The issue is all fresh money and mostly repays debt, which should lift reported profit by about 30% through lower interest. The reported P/E is a fair measure of its earnings.

What holds the value down. Thin margins (2.7% PAT), high leverage before the issue (3.3x debt/equity), dependence on one supplier and one end-market, and a softer H1 FY26. The filing lapses and a newly constituted board are governance points to follow, not material issues.

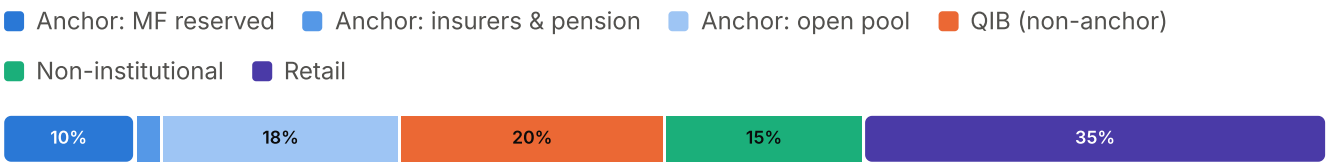
Valuation. At Rs 82, fair value is Rs 108 / **Rs 116** / Rs 126 (Bear / Neutral / Bull), +41.0% in the Neutral case. **Call rule:** the Neutral value is above the price, so the call is **Subscribe**. The band is below the Rs 88 at which outside investors bought in Oct-2025, and values the company at 18.0x FY25 earnings after the issue (13.9x pro forma for lower interest). Two cautions: the relative value leans on a wide peer set (13-60x) while the DCF alone (Rs 51) is well below the price, and the figures stop at Sep-2025. The report is refreshed automatically when the RHP becomes readable.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 183 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	33.49	30
Anchor - tranche 2	33.49	90
Pre-issue non-promoter shareholders (incl. Oct-2025 placement at Rs 88)	9	180
Promoter holding above 20% of post-issue capital	271.59	365
Promoters' minimum contribution (20% of post-issue capital)	124.41	1095

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	3:1 bonus (08-Jul-2025) is reflected: EPS 4.47 / 5.34 / 7.24 FY23-25 are on the post-bonus count of 3.96 crore shares. A further 9,00,091 shares were placed at Rs 88 on 28-Oct-2025 (4.05 crore shares now).	pp. 29, 94
2	Cash flow vs profit	! WATCH	Operating cash flow Rs 1.34 / 11.49 / 32.09 cr FY23-25 against PAT Rs 15.67 / 21.14 / 28.67 cr: cumulative CFO/PAT 68.6% while revenue grew 34% a year. H1 FY26 CFO Rs 62.51 cr (PAT Rs 11.01 cr) as inventory and receivables were released; including H1, CFO exceeds PAT.	p. 280
3	Current vs deferred tax	✓ PASS	Current tax 20.0% of cumulative FY23-25 PBT plus deferred tax (accelerated depreciation on new plants) 4.1%; income tax paid Rs 18.88 cr over three years.	p. 279
4	Related-party capex & subsidiaries	! WATCH	Promoters and relatives lend the company Rs 25.75 cr (Sep-2025) at interest (Rs 2.52 cr of interest in FY25) and rent it two properties; managerial pay is modest (Rs 0.66 cr to three promoter directors in FY25). Related-party transactions 3.14% of FY25 revenue. Disclosed and typical of a promoter-funded company.	pp. 32-33
5	Objects arithmetic as price floor	– N.A.	Amount-based fresh issue (Rs 191 cr): Rs 125 cr repays borrowings, Rs 18 cr buys out Siemens equipment leases, balance GCP (cap 25%). No fixed share count, so no objects floor.	pp. 27, 108
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	✓ PASS	No goodwill or intangibles.	p. 278
8	Customer / supplier / geographic concentration	! WATCH	JSW Steel Coated Products supplied 90.61% of FY25 steel coils (authorised service partner since 2021); appliances 81.80% of FY25 product revenue; top customer (Amber Enterprises) 15.53% and top-10 67.44%. Typical of a service centre tied to one mill and the appliance PLI ecosystem.	pp. 30-31, 37
9	Contingent liabilities	✓ PASS	No contingent liabilities; capital commitments Rs 3.34 cr (Sep-2025).	p. 31
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✓ PASS	Shah Shah & Shah (peer-reviewed); no qualifications. A previous auditor resigned in Aug-2021, before the current growth phase.	pp. 29, 88
R2	CARO / audit trail	! WATCH	25 delayed RoC filings over five years and a 2021 allotment to a promoter (for the Bombay Steels business transfer) filed with the wrong form and without MGT-14; compounding / adjudication application pending before the RoC. Procedural, rectified with additional fees; no penalty yet.	pp. 44-46
R3	Monitoring agency	✓ PASS	Fresh issue Rs 191 cr: monitoring agency mandatory; to be named in the RHP.	p. 108

#	CHECK	RESULT	FINDING	PAGE
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover
R6	Lead-manager track record	○ OPEN	Smart Horizon Capital Advisors: past-issue track record is referenced to its website and not compiled in this run.	p. 434
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue Rs 183.06 cr (about 2.23 crore shares at Rs 82; NSE issue page); no OFS; QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35% (cover, p. 26).
- **Objects:** repayment of borrowings Rs 125 cr; acquisition of equipment under Siemens Financial Services leases Rs 18 cr; GCP up to 25% of gross proceeds (pp. 27, 108).
- **Share history:** incorporated 2019; 2021 allotment to the founder for the Bombay Steels business (Rs 8.76 cr consideration); rights issues at Rs 10 (2021, 2023); 3:1 bonus on 08-Jul-2025; private placement of 9,00,091 shares at Rs 88 on 28-Oct-2025, originally approved as a pre-IPO placement; 4,05,00,091 shares now (pp. 93-95). Weighted average cost of shares acquired in the last three years Rs 3.61 (p. 34).
- **Anchor book:** anchor bidding on 28-Oct-2026; the allocation report is on nsearchives.nseindia.com, which is not reachable from this environment.
- **Lock-ins (to be confirmed in the RHP):** promoters' minimum contribution (20% of post-issue capital) for three years if the lease buy-out counts as capex, otherwise 18 months; excess promoter holding one year or six months accordingly; other pre-issue holders six months; anchor shares 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

Smart Horizon Capital Advisors Private Limited (sole BRLM). The DRHP refers to its website for the track record of past issues (p. 434); it has not been compiled in this run. It also manages the Wiscon Industries SME issue.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus and share count	PASS	Jul-2025 bonus reflected in EPS; Oct-2025 placement added (pp. 29, 94)
2	Cash flow vs PAT	WATCH	Cumulative CFO/PAT 68.6% FY23-25; H1 FY26 CFO Rs 62.51 cr (p. 280)
3	Current vs deferred tax	PASS	Current tax 20.0% of PBT plus deferred 4.1% (p. 279)
4	Related-party dealings	WATCH	Promoter-family loans Rs 25.75 cr at interest; rent (pp. 32-33)
5	Objects as price floor	N.A.	Amount-based fresh issue (p. 108)
7	Goodwill	PASS	None (p. 278)
8	Concentration	WATCH	JSW 90.61% of coils; appliances 81.80%; top-10 67.44% (pp. 30-31, 37)
9	Contingent liabilities	PASS	None; commitments Rs 3.34 cr (p. 31)
R1	Auditor	PASS	Peer-reviewed; no qualifications
R2	Statutory compliance	WATCH	25 delayed RoC filings; adjudication pending (pp. 44-46)
R3	Monitoring agency	PASS	Required; to be named in the RHP
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
RHP (FY26 figures, final objects, dates) not retrievable	High	RHP on SEBI / NSE
FY26 full-year results (numbers end 30-Sep-2025)	High	RHP
Subsidy scheme and remaining tenure	Medium	RHP / issuer
JSW Steel Coated Products agreement terms	Medium	RHP material contracts
RoC adjudication outcome	Low	RHP
Smart Horizon track record	Low	BRLM website / RHP

Verification

- **Restated P&L reproduces:** FY25 total income Rs 1,058.65 cr less expenses Rs 1,021.48 cr = PBT Rs 37.17 cr; less tax Rs 8.49 cr = PAT Rs 28.67 cr (p. 279).
- **Balance sheet balances:** Sep-2025 total assets Rs 451.71 cr = equity Rs 94.07 cr + non-current liabilities Rs 79.36 cr + current liabilities Rs 278.27 cr (p. 278).
- **Cash flow:** H1 FY26 operating, investing and financing (+62.51, -33.78, -24.22) sum to the +4.52 change in cash (p. 280).
- **EBITDA reproduces the KPI table** for FY25 (Rs 74.09 cr, part 5).
- **Workbooks:** the toolkit verification gate passed on this build.

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